

Chap - 12

Consumer Protection

Meaning

"Consumer protection" refers to protecting the consumer against anti consumer trade practices."

Consumer protection means promoting and protecting consumer interest :-

- Educating consumer about their right and responsibilities.
- Providing speedy and inexpensive redressal of consumer grievances.
- Protecting consumer from unfair trade practices, manufacturers and providers.

Importance of consumer protection :-

1) from consumer point of view.

- a) Consumer Ignorance :- Consumer are not aware about right, in light of widespread ignorance of consumer about their right and reliefs available to them they bear this exploitation.

b) unorganised consumers $\rightarrow$ consumer need to be organised in the form of consumer organisation which would take care of their interest.

c) widespread Exploitations of consumer $\rightarrow$ the consumer need protection against the mal-practice of trader and producer. False advertising and misleading advertisement is another way of exploitation.

2) From the business point of view

a) Long term interest of Business $\div$ If business fails to satisfy the consumer, they will shift over product of competitors. Further consumer faith in an enterprise create goodwill for business

b) Business use society resources $\rightarrow$ Business is a trustee of society's resources. Such resource can be used for benefit of society.

c) Social Responsibility $\rightarrow$ 'The business can't ignore the trust of these groups of including the consumers. The responsibility of business is to provide quality goods at reasonable price.'

- d) Moral justification $\Rightarrow$ Business is a part of society and should be guided by the social ethics and norms. It is the moral interest of business to protect and advance the interest of consumer.
- e) Government Intervention $\Rightarrow$ A business engaging in any form of exploitative trade practice would invite govt. intervention or action.

'The consumer protection Act, 2019'

The consumer protection act 2019. This act introduced to extend whole India except Jammu & Kashmir. It replaces consumer protection act 1986.

- $\Rightarrow$ This act provided protection of the interest of consumer
- $\Rightarrow$ Timely and effective settlement of disputes.

Consumer Rights :-

1) Right to Safety

It is important for safe and secure living. Right to safety means right to be protected against products which are hazardous to life and property.

2 Right to choice

→ Acc. to this right every consumer has the right to choose the goods or services of his or her likings. The producer or supplier or retailer should not force the customer to buy a particular brand only consumer should be free to choose the most suitable product from his point of view.

3 Right to Information →

→ Acc. to this right the consumer has the right to get information about the quality, quantity, purity, standard and price of the goods.

4 Right to be heard or Right to representation

→ Acc. to this right the consumer has the right to represent himself or to be heard or right to show his interest. In case a consumer has been exploited or has any complaint against the product then he has the right to be heard.

5 Right to seek Redressal

→ Acc. to this right the consumer has right to get compensation or seek redressal against unfair trade practice or any other exploitation. This right assure justice given to consumer against exploitation.

6) Right to consumer education

→ Acc. to this right. It is a right of a consumer to acquire the knowledge and skills to be informed to customers. It is easier for literate consumer to know their rights and take decisions or actions but this right assures that illiterate consumer can seek information about the existing act and agencies are set up for their protection.

* Consumer Responsibilities

1) Consumer must exercise his right → under consumer protection act the consumer is granted various rights such as right to safety, choose, etc but these rights will be useful only when consumer exercise these right.

2 ~~Con~~ Cautious consumer → the consumer should not blindly believe on the words of seller. He must insist on getting full information on the quantity, utility, price etc. of the goods or services

3 Filing complaints for the Redressal of genuine grievances
→ Most of the time consumer ignores the loss he suffers on purchase of defective good but this attitude encourages the corrupt businessman to supply defect goods.

4 ~~Filing complaints for the redressal~~

4 consumer must be quality conscious → the problem of supply of substandard goods, adulterated products & duplicate products can be solved by consumer himself while purchasing goods consumer must look for quality marks such as, ISI mark, Agro mark, ISO, wool mark etc

5 Do not be carried away by adv. → The adv. offers often exaggerate the qualities or features of product or services. The consumer should not be carried away towards adv.

6 Insist on Cash memo → To file a complaint the consumer needs the evidence of purchase & cash memo is the proof that consumer has paid for goods & services. A seller is bound to give a cash memo even if buyer does not ask for it.

7 Respect the environment, avoid waste littering and contribution to pollution.

Relief / Remedy available to consumer :-

- Refund to price paid
- Replacement of goods
- Removal of defects
- Payment of compensation
- Stopping sale of hazardous goods.
- Payment of adequate cost
- Removal of deficiency
- To issue corrective adv.

Marks indicating quality of diff. product :-

- ISI - Electronic item
- AG MARK - Agriculture products
- BIS mark - 18 gold Jewellery
- Wool mark - Signifies pure wool
- ECO-mark - For environment friendly products.

Following are not considered as consumers :-

- a) A person obtain goods for resale
- b) Person who use the goods without approval of buyer
- c) A person who avail the services without the approval of the firm.
- d) who obtain goods without consideration.
- e) who hires only services without any consideration

Who can file complaint :-

- Any consumer, consumer registered association.
- Central or state govt.
- one or more consumer on behalf of numerous consumer.
- A legal heir of a person or representative of deceased consumer.
- Redressal agencies under consumer protection act 2019 and their jurisdiction :-

District commission

- It consist of a president and two other members. The president can be retired or working judge of district court. They are appointed by state govt. the complaints for goods or services worth ₹ 1 crore or less. Can be filed in the agency. The agency send the good for testing in laboratory if required and give decision on the basis of facts and laboratory reports. If the aggrieved party is not satisfied by the jurisdiction the they can file an appeal against the judgement in state commission within 45 days.

State commission

- It consist of a president and two other members. The president must be a retired or working judge of high court. They all are appointed by state govt. The complaint for the goods worth more than ₹ 1 crore and less than ₹ 10 crore can be filed in state commission. On receiving the complaint the state commission contacts the party against the whom the complaint is filed and sent the goods for testing in laboratory if required. An aggrieved party is not satisfied with the judgement then they can file an appeal in national commission within 30 days.

National commission →

- It consist a president and four members one of whom shall be a women they are appointed by central govt. The complaint can be filed in the national commission ~~informs the party against whom~~. If the value of goods exceeds ₹ 10 crore on receiving the complaint the national commission informs the party against whom complaint is filed and sends the goods for testing if required and gives judgement if aggrieved party is not satisfied with the judgement then they can file a complaint in supreme court within 30 days. Only those

appeal where value of goods and services exceed ₹10 crore and aggrieved party was not satisfied with the order of the national commission can be taken to the supreme court of India.

* Thus are some consumer organisation & NBO:

- VOICE - voluntary organisation in interest of consumer education
- consumer association (Kolkata)